

Two risks that do not overlap, and the one that does

The positions fail for unrelated reasons, and that is measured rather than claimed. One state takes both.

Long CATL · 3750 HK

A Commerce Entity List designation. 1260H already feeds EAR action and it can land on any morning. Undated, which is why the position is scaled in rather than sized in one go.

39.4% of gross profit, not 31.5% of revenue. CNY 26bn, on the order of 60% of group net profit. Gross profit carries no allocated opex, so it is a ceiling on what is at stake.

30 June 2027. The \$805 indirect prohibition reaches customers. Statutory rather than forecast, and inside the position's horizon.

An Entity List designation, or a named Western OEM cancels a programme. Entry, target and stop are still to be set off the live price.

$$\rho = +0.06$$

independent

PRINCIPAL RISK

SIZED

DATED CATALYST

OUT WHEN

JGB 2s10s bear steepener · receive 2y, pay 10y

USD/JPY through 165. MOF intervened on 30 July at 163, so the line is live. Through it and holding, the BoJ hikes to defend the currency and the curve bear-flattens.

16bp stop is ¥14.1m per ¥1bn of back leg. ¥17.6m net of the round trip. The worst modelled state, a bear flattener, is -¥26.3m.

18 September and 29 October. Half the position goes on the day after a delivered BoJ hike. The 29 October FY27 CPI revision is the invalidation.

Two core-core prints at or above 2.2% and rising, USD/JPY through 165, or 2s10s through 98bp.

The one state that takes both: a global flight to quality

The JGB long end leads the rally, 2s10s flattens, and Asian growth equity de-rates in the same weeks. Measured rather than feared: **against the S&P the steepener runs +0.13 across all weeks and +0.42 in the worst quintile, and a 10bp JGB rally costs ¥6.8m per ¥1bn.** The diversification benefit falls from 27% to 24%.